Ollscoil Chathair
Bhaile Átha Cliath
Dublin City University

Module: **BAA1019 - Business Strategy**

Assignment: **BAA1019 Open Book Exam Summer 2026**

Case study: **US battery start-up Lyten buys Northvolt out of bankruptcy**

Course and year: **Accounting and Finance Year 3**

Student name: **Daniel Vala**

Student number: **23733241**

Word Count: **3288**

Question 1: What are the key strategic issues that Lyten is presented with in the case above?

For the start, I will go through the key strategic issues that Lyten is facing based on the case. I will mainly use Hambrick and Fredrickson's (2001) Strategy Diamond to structure the analysis, along with other relevant frameworks that may be helpful for particular issues.

Operational integration and overextension

What stands out to me most from the case is the sheer scale of what Lyten is trying to take on. They are acquiring a gigafactory in Skellefteå, an R&D facility in Västerås, a planned facility in Heide and, on top of that, they are in talks about a factory in Quebec. All of this is happening while they are still a start-up that has not yet manufactured anything at commercial scale (Wikipedia, 2026). When I look at this through the staging element of the Strategy Diamond - which asks, “What will our speed and sequence of moves look like?” - the concern becomes quite obvious. Northvolt itself failed partly because it lost focus by planning new factories in Germany and Canada, along with an energy storage facility in Poland. So, Lyten is essentially inheriting the same multi-geography footprint that contributed to Northvolt's collapse.

From a risk typology perspective, I would classify this as a preventable risk, because it is an internal decision about how fast to expand. Lyten has full control over the sequencing, so the real question is whether they will prioritise stabilising one location first or try to run everything at once.

Dual-technology complexity

Another significant issue relates to the differentiators element. Lyten specialises in lithium-sulphur batteries, claiming that they are cheaper and have higher energy density. But at the same time, they also intend to continue manufacturing lithium-ion batteries for EVs using Northvolt's technology. Running two fundamentally different battery chemistries can be difficult to manage. I would categorise this as a strategic risk that Lyten is voluntarily accepting.

However, I can see the logic behind it. Lithium-ion for EVs gives them immediate revenue potential through Northvolt's former customers, such as Audi, Porsche, and Scania, while lithium-sulphur for drones and data centres is the longer-term bet. If I apply McKinsey's Three Horizons, lithium-ion would be Horizon 1 (the core business that generates today's profits and cash flow), and lithium-sulphur would be Horizon 2 (new ventures that will drive the building of a multinational champion in the future). The issue is not necessarily the strategy itself, but whether a start-up can realistically execute both at the same time.

External dependencies

The third issue I want to point out is how dependent Lyten's strategy is on governments. The deal needs approval from authorities in Sweden and Germany, and at the same time, the company is negotiating with the Canadian government about another factory. Each of these jurisdictions represents a separate political dependency. This is clearly an external risk - something beyond Lyten's control - and what makes it particularly problematic is that a change in political priorities in any single country could delay or block parts of the expansion.

Dynamic Capabilities

When I bring all of this together, I think Teece's Dynamic Capabilities framework captures the overarching issue well. Lyten has clearly demonstrated strong sensing - they identified a unique opportunity in Northvolt's bankruptcy, the growing importance of the battery industry in the age of decarbonisation, and the geopolitical risks of relying solely on Chinese manufacturers. The seizing capability is also there - the $200 million raised together with investors like Stellantis, FedEx and Honeywell provides good evidence of this. But the transforming part is the big unknown at the moment. Northvolt raised more capital than any other private company in Europe and still failed at exactly this stage. So, I think the central strategic issue comes down to whether Lyten has the transforming capability that Northvolt did not.

Question 2: Does Lyten's cross-border expansion reflect a coherent internationalisation strategy or premature global scaling without operational stability, and how should it sequence and structure its international expansion to succeed? Justify your answer with reference to supporting business and case literature.

To fully answer this question, I will evaluate it by first looking at the internationalisation logic through the Uppsala and Born Global models, then analysing the entry mode choice and market distances, and finally recommending how Lyten should sequence its expansion.

The internationalisation models

If we apply the Uppsala Model, Lyten's approach raises immediate red flags. The model argues that firms suffer from the "liability of foreignness" - differences in language, culture, and political systems make foreign operations risky - and therefore they should internationalise incrementally. According to the model, the correct sequence should be to first test the market, then export, then set up a sales office, and only then commit to manufacturing. Lyten is doing the opposite. It has zero operational history in Sweden, Germany, or Canada and is jumping straight to acquiring manufacturing facilities across all three. It could easily fall into the same trap as Northvolt, which "lost focus by planning new factories in Germany and Canada", something that contributed to its collapse, as the case states.

However, I think there are strong reasons why the traditional Uppsala logic does not fully apply here. First, Lyten is not entering these markets from scratch through greenfield investment. It is acquiring Northvolt's existing assets, which come with an established workforce, customer relationships with Audi, Porsche, and Scania, and potentially also government connections. The 2009 revision of the Uppsala Model (Johanson and Vahlne, 2009) actually shifted focus from psychic distance to the "liability of outsidership" - stating that the main problem is being outside relevant business networks. By acquiring Northvolt, Lyten is essentially buying its way into these networks, which significantly reduces the foreignness problem. Second, the battery industry is not culturally dependent in the way that, for example, retail is. Walmart failed in Germany because shopping behaviour is deeply cultural (Knorr and Arndt, 2003). Batteries are industrial inputs and are broadly universal around the

world. Northern Europe is actually a leader in EVs and decarbonisation, sharing similar priorities with California, so the product-market fit should not be a major concern.

On the other end of the spectrum sits the Born Global model, which argues the opposite of Uppsala - that some firms treat the world as one marketplace and skip the incremental stages entirely, entering multiple countries simultaneously from the start. Typical Born Global companies are technological firms. They usually succeed because their products require low adaptation, low communication costs, and low transportation costs, making them available almost equally all around the world (Hennart, 2014). The question is whether this logic applies to Lyten. While Lyten does not have good propositions to be a Born Global firm - batteries are heavy, logistics-intensive, and require physical factories, failing all three of Hennart's low-cost criteria - the competitive reality is that just the two largest Chinese manufacturers, CATL and BYD, now control 55.1% of the global EV battery market (CnEVPost, 2025). Following Uppsala's slow incremental approach would likely mean arriving too late. The geopolitical window, in which Western governments actively support local supply chains, is open now but may not stay open forever.

Entry mode, acquisition risks, and market distance

Dunning's OLI Framework helps evaluate whether FDI is the right entry mode by assessing whether a company has a unique competitive strength, whether the target country offers specific benefits, and whether controlling operations directly is more profitable than outsourcing. Lyten has a clear ownership advantage in its proprietary lithium-sulphur technology. Location advantages exist in each target market - Sweden offers existing infrastructure and a skilled battery workforce, Germany is a gateway to the automotive industry and EV market, and Canada provides access to North American supply chains. The internalisation advantage is also present - battery manufacturing is becoming a strategic industry, and outsourcing carries significant risks, especially in a market where Chinese competitors are heavily supported by the Chinese government and aim to increase European dependency on them in decarbonisation-related sectors. Since all three OLI conditions are met, FDI through acquisition is justified as the correct mode.

The acquisition itself carries significant risks. The M&A literature consistently shows that more than 70% of acquisitions fail (Christensen et al., 2011), and much of this comes down to what the Integration Iceberg model describes - the dangers below the surface. The model places financial concerns above the waterline, while cultural problems lie below it - and argues that these are often more serious and ultimately determine whether an acquisition succeeds or fails in the long run.

For Lyten, the cultural dimension is worth considering carefully. It is a Californian start-up absorbing a Nordic workforce that is likely used to different working habits than those of Silicon Valley, from stronger egalitarian tendencies to a potentially less innovation-driven and entrepreneurial approach. The Geely-Volvo case from 2010 is a useful reference point here - Geely, a relatively small Chinese automaker, acquired Volvo from Ford when it was struggling financially. Many were sceptical that it could work given the cultural distance between China and Sweden. But Geely succeeded because it gave Volvo significant operational autonomy rather than imposing its own management style on Swedish operations (Novikova, 2025). I would advise Lyten to follow a similar approach - retain Northvolt's expertise, empower local leadership, and allow them to use their full potential without unnecessary intervention.

One thing working in Lyten's favour is the bankruptcy context itself. The Winner's Curse - where acquirers overpay because of competitive bidding pressure - is largely avoided here. Lyten is buying at a "deeply discounted" price, which gives it more financial headroom to absorb integration costs and potentially expand faster.

To assess market distance, Ghemawat's CAGE Framework is useful. As I see it, Canada has the lowest overall distance from Lyten's US base - similar administrative systems, geographic proximity, and comparable economic conditions. Germany and Sweden are at a similar level for me, both slightly more distant than Canada. Culturally, they are both European Germanic countries, which makes them relatively similar. They are also both part of the European Union, which makes the administrative environment broadly aligned. In economic terms, Germany has the advantage of a stronger industrial tradition, while Sweden can be viewed as more egalitarian in terms of labour rewards.

Therefore, CAGE logic would suggest starting with Canada, the closest market. But the reality is that the assets, the workforce, and the knowledge are in Sweden, which - in my opinion - overrides CAGE distance considerations in this particular case.

Recommended sequencing

Based on the analysis above, I think Lyten should take a phased approach rather than activating everything simultaneously.

Sweden should come first and basically has to come first, because the Skellefteå gigafactory and Västerås R&D centre are the core of what Lyten is acquiring and, together with the workforce, manufacturing knowledge, and customer relationships, they will form the core of its business. The priority should be to stabilise production, rehire key personnel, and prove that the factory can operate profitably. Cook himself acknowledges that “Northvolt's management had for the most part solved their issues before being forced to shut down”, which suggests that the operational foundation may be relatively viable.

Germany should be acquired as part of the deal - the Heide facility appears to be bundled with the Northvolt assets - but Lyten does not need to rush into building it. The case describes it as a planned facility, meaning it is not yet operational. Lyten can secure the rights and the government relationship, but delay significant investment until Sweden is stable. When it does become active, Germany makes strategic sense as a gateway to the European automotive industry, which should be the main revenue source in the early years through lithium-ion battery sales.

Canada can wait. While the Quebec factory would provide North American market access and CAGE distance is the lowest, it is not essential at this stage. Lyten is already based in the US, so a North American presence already exists. The Canadian expansion should be conditional on European operations becoming profitable and stable.

This sequencing directly addresses what went wrong with Northvolt. However, as described earlier, there is also an element of urgency here because the opportunity and favourable market conditions exist right now. If Lyten wants to become the Western world's champion in battery manufacturing, given its strong investor base

and Western governments' willingness to support local manufacturers in this strategic and future-critical industry, it could experience rapid growth, although it will have to take on the risks outlined above. If it moves too cautiously, there is a real chance that a competitor will rise and take the opportunity, or that Chinese firms will get too far ahead.

Question 3: Evaluate the trade-off between geopolitical alignment and commercial flexibility presented in the case. Does Lyten's reliance on state-level support and "local supply chains" act as a sustainable barrier to entry, or does it create an "institutional dependency" that limits long term strategic autonomy? Justify your answer with reference to supporting business and case literature.

In this section, I will start with a brief PESTEL scan of the political landscape, then assess barriers to entry through Porter's Five Forces, test the durability of government support through VRIO, and finally examine the risks through the risk typology framework.

The political landscape

A quick look at the Political and Legal dimensions of PESTEL reveals how deeply Lyten's strategy is embedded in government relationships. The acquisition itself requires approval from authorities in Sweden and Germany. The US Inflation Reduction Act creates significant incentives for domestic battery production, including Foreign Entity of Concern (FEOC) rules that, from 2025, block EVs from receiving the $7,500 tax credit if their batteries contain components manufactured by entities from FEOC-specified countries, which includes Chinese or Russian entities (U.S. Department of the Treasury, 2024). The EU Battery Regulation introduces its own compliance requirements around sustainability and supply chain due diligence (Eur-Lex, 2023). All of this currently works in Lyten's favour. But it also means that Lyten's competitive position is shaped to a high degree by political decisions - and political decisions can change.

Porter's Five Forces

If we look at this through Porter's Five Forces, specifically the threat of new entrants, there is no question that government policy currently creates real barriers against Chinese competitors across both EU and US jurisdictions.

However, there is a critical distinction that needs to be made. These barriers are government-created, not firm-created, and all of them can be reversed by a different government with different priorities. On the other hand, the real firm-created

differentiator is Lyten's lithium-sulphur technology. It exists regardless of who currently rules the country or what political direction is popular. The question is which of these two sources of advantage Lyten is primarily relying on.

VRIO

To answer this, I will apply Barney's VRIO framework to both resources separately.

For government support, it is clearly valuable, as it provides subsidies (Lyten, 2024), regulatory protection, and market access. It is relatively rare, although other Western battery firms like Tesla also receive government incentives (Fortune, 2023), so Lyten is not uniquely positioned. The main problem comes with inimitability - governments can redirect support to other firms, withdraw subsidies due to budget constraints, or change policy direction after an election. Since Lyten plans to operate across four jurisdictions, this risk is multiplied. We can say then that government support fails the inimitability test and represents a temporary competitive advantage at best.

For lithium-sulphur technology, it is valuable - offering cheaper production and higher energy density. It is rare, as most other companies still rely on lithium-ion technology. It is arguably inimitable, given the years of R&D behind it. The weakness lies in the "organised" dimension - Lyten has not yet manufactured lithium-sulphur batteries at commercial scale (Defence and Munitions, 2024 - suggests that Lyten has only sent out some initial samples for testing). So, the technology represents a potential sustained competitive advantage, but only if Lyten can prove that it works in practice. The contrast between these two VRIO assessments is important and quite clear. One advantage is temporary and outside Lyten's control, while the other is potentially sustained but still unproven. Over-reliance on the temporary one can be risky.

Political risk and real-world evidence

From the risk typology framework, government dependency falls clearly into the category of external political risk - it is beyond Lyten's control. What makes this particularly concerning is that Lyten could be exposed to political risk in several jurisdictions simultaneously. A policy shift in any one of them could affect operations.

Real-world cases support this concern. For example, the US government provided Solyndra with a $535 million loan guarantee for solar panel manufacturing. But because of increasing competition at the time, particularly from Chinese and Taiwanese companies driving prices down, government backing was not enough - Solyndra went bankrupt because market dynamics overwhelmed political support (Brown, 2011). Given the strong Chinese competition in the battery industry, the connection to Lyten is quite clear. If the company does not create its own cost-competitive advantage in the future, subsidies alone are unlikely to save it. I would argue that barriers to Chinese companies entering Western markets are more helpful here, but they still carry the risk of changing political direction.

The Nokia Bochum case tells a similar story from a different angle. North Rhine-Westphalia invested €60 million in subsidies to keep Nokia's factory in Germany. When Nokia found that labour costs were ten times lower in Romania, it closed the factory and relocated anyway (Henning, 2008). As we can see here, the government tried to shape the market through subsidies, anchoring Nokia to the region, but that was simply not enough to override the economic reality.

Conclusion

I will now draw a conclusion from the analysis above. The dependency risk is real - as VRIO shows, government support fails the inimitability test, and cases like Solyndra and Nokia Bochum demonstrate that political backing often does not override market forces. Lyten is exposed to political risk across multiple jurisdictions simultaneously, and any one of them could shift and create additional hurdles for Lyten's expansion. However, given the current geopolitical climate, it is likely that Western protectionism against Chinese manufacturers will continue for the foreseeable future. Both the EU and the US are investing heavily in decarbonisation, and they seem to have recognised the importance of being as self-sufficient as possible in terms of key components needed for a green future. So, while Lyten's dependency is real, the conditions sustaining it appear relatively stable in the medium term.

It is also worth noting that Chinese battery and EV firms are themselves heavily subsidised by the Chinese government (Reuters, 2023; European Commission,

2024). Therefore, for Western firms to compete at all, some degree of government support is arguably necessary - Lyten is not unique in this, it is simply how the global battery industry operates right now.

The key question is what Lyten does with this support. Government backing provides the opportunity to scale faster, stabilise manufacturing operations, and build a strong foundation quickly - essentially compressing the timeline that the Uppsala Model would otherwise require. If Lyten uses this period to prove its lithium-sulphur technology at commercial scale, or to become a leading lithium-ion battery supplier and achieve genuine cost competitiveness, it can eventually stand on its own and no longer depend on government support to survive. If it does not, it will remain a subsidy-dependent company that could collapse under the weight of market forces, similarly to the cases mentioned above. Therefore, government support should function as a launchpad for building firm-created competitive advantages, not as a permanent crutch on which the company relies.

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Appendix A: Generative AI Declaration Statement

Declaration Statement

Please tick the appropriate box relating to your use of Gen AI tools for module Business Strategy (BAA1019)

A. ☐ I did not use any Gen AI tools (including for editing and proofreading) in the completion of this assignment

B. ☑ I did use Gen AI tools in the completion of this assignment

Signature: Daniel Vala

Date: 04/04/2026

Appendix B – Reporting of Gen AI Tool Use in the Assignment

Tools: Claude Opus 4.6, used between 28/03/2026 – 04/04/2026

1. **Article summaries**

   Outputs:

   I used the tool to create summaries of articles used as references, specifically to summarise the articles, navigate through them, and search for relevant parts.

   Prompts:

   Claude was given the link, or I uploaded the PDF document, and was asked to create a summary of it. Then I usually asked where the particular relevant information was in the document so that I could verify it was correct. I sometimes continued to ask for further help with document navigation when needed.

   Iterations:

   Typically 3-4 iterations per article.

2. **Proofreading and improving the language of the essay**

   Outputs:

   I used the tool to rewrite my essay without grammar or spelling mistakes and to reword my text where needed.

   Prompts:

   I first wrote a rough draft. I uploaded it section by section to Claude to reword unnatural parts, correct any grammar or spelling mistakes, and generally improve the overall language of the essay. Then I proofread everything, made any needed adjustments, and inserted it into the final document.

   Iterations:

   Typically one iteration per section of text.